

3.

The Payment of Wages Act, 1936

The payment of wages act regulates the payment of wages to employees. Noncompliance leads to penalties and fines. The requirements of the acts are



a. Mode of payment

Salaries to be paid using cash, cheque or bank transfer.



b. Time of payment -

Payment must be made within 7 days of the next month.



c. Deductions -

Only authorized deductions like PF, ESI, Income tax must be made from wages. The deductions must not be more than 75% of wages.



d. Registers -

Registers must be maintained for wage payments and deductions.



e. Display of Notice -

For wage period and payment date.